imperialism as an extension of rule through armed conquest of territories.

Moreover, the theory's portrayal of the dominant capitalist classes in terms of trusts directly linking industry and banking under the rubric of 'finance capital' extrapolated far too generally from Germany, whereas a much looser relationship between production and financial markets, very much along American lines, increasingly became the norm through the course of the century. And the explanation of the export of capital to peripheral regions in terms of the saturation of domestic markets in the major capitalist countries was premised on the mistaken notion that progressive immiseration rather than increasing consumerism necessarily characterised the condition of the working classes in the mature capitalist countries.[3]

After World War II, the informal American empire took responsibility for the extension and reproduction of capitalism on a world scale, with the strong support of capitalist classes abroad. The closest economic, political and military linkages were forged among the advanced capitalist states of North America, Europe and Japan rather than with the former colonies and dependencies of the so-called 'Third World'. Profits were largely realised at home through expanding working-class consumption, even while the ground was being laid for massive capital exports through multinational corporations and the extensive development of international financial markets. The US committed to creating the conditions for globalised capital accumulation to the extent that capitalists abroad as well as at home came to see the US as the ultimate guarantor of their property. What Britain had been unable to achieve – indeed hardly even to contemplate – in the 19th century was now accomplished by the American informal empire, which succeeded in integrating all the other capitalist powers into an effective system of coordination under its aegis.

In this context, a strong case was already made in the 1970s that the Marxist identification of imperialism with 'an undifferentiated global product of a certain stage of capitalism' reflected the old theory's lack of 'any serious historical or sociological dimensions'.[4] Moreover, the growth of manufacturing production and exports in a diverse range of countries – from South Korea to Brazil – was not only strongly encouraged under the rubric of American-led 'globalisation' but very much advanced by domestic capitalist classes, with their own capital outflows and MNCs actively promoted by their states. This undermined the identification of imperialism with neo-colonialism and the development of underdevelopment.[5]

Yet it is quite remarkable how widely many of its underlying premises have continued to guide analyses of imperialism in our time. Exports and capital flows